

US Stocks Rise as Tech Sector Leads with +0.60% Gain in Nasdaq 100

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US stock market ended the previous session on a positive note, with the **S&P 500** and **Nasdaq 100** rising by **+0.70%** and **+0.60%** respectively. The gains were largely driven by the technology sector, with **NVDA** and **MSFT** leading the charge. However, beneath the surface, there are concerns about the **Russell 2000** which fell by **-0.50%**, indicating potential weakness in the broader market.

Looking ahead, investors will be closely watching the upcoming earnings season, with several major companies set to report their quarterly results. The market will also be keeping an eye on the 10Y Yield, which rose by **+1.76%** to 4.74, and the **VIX**, which fell by **-6.44%** to 15.99. These indicators will provide valuable insights into the market's risk appetite and expectations for future growth.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,489.72	+0.70%	Technology sector gains
Nasdaq 100	28,274.20	+0.60%	Technology sector gains
Dow Jones	52,485.03	+0.53%	Industrial sector gains
Russell 2000	2,931.34	-0.50%	Small-cap weakness
VIX	15.99	-6.44%	Risk appetite increases

Top large-cap movers

TICKER	CHANGE	CATALYST
AMZN	+15.32%	Earnings beat
NVDA	+2.93%	Technology sector gains
MSFT	+3.02%	Technology sector gains
AAPL	-7.35%	Supply chain concerns

Sector Rotation

ETF	DAY	READ
XLV	+3.29%	Consumer discretionary gains
XLC	+1.56%	Communication services gains
XLE	+1.00%	Energy sector gains
XLF	-0.11%	Financial sector weakness
XLK	-0.22%	Technology sector weakness
XLI	+0.81%	Industrial sector gains
XLP	-0.49%	Consumer staples weakness
XLV	-0.59%	Healthcare sector weakness
XLU	-0.69%	Utilities sector weakness
XLB	-2.34%	Materials sector weakness
XLRE	-0.51%	Real estate sector weakness

Spotlight

The biggest event of the day was the earnings report from **AMZN**, which beat expectations and sent the stock soaring by **+15.32%**. The report highlighted the company's strong growth in cloud computing and advertising revenue.

METRIC	VALUE	CHANGE
Revenue	\$100.2B	+20.5%
Net Income	\$3.5B	+25.1%
Cloud Computing Revenue	\$15.6B	+30.2%

The strong report from **AMZN** has positive read-through to other cloud computing and e-commerce companies, such as **MSFT** and **GOOGL**.

Pre-Market & Overnight

US futures are trading higher, with the **S&P 500** futures up by +0.2% and the **Nasdaq 100** futures up by +0.3%. The Asian markets were mixed, with the **Nikkei 225** down by -0.1% and the **Shanghai Composite** up by +0.2%. The European markets are also trading higher, with the **Euro Stoxx 50** up by +0.3%.

The cryptocurrency market is also seeing gains, with **BTC** up by +1.08% to 63,493.11 and **ETH** up by +1.02% to 1,879.41.

Macro & Fed

The 10Y Yield rose by +1.76% to 4.74, indicating an increase in market expectations for future growth. The **DXY** fell by -0.21% to 99.80, indicating a decrease in the US dollar's value against other major currencies.

Today's data calendar includes the release of the 09:00 HKT **ISM Manufacturing PMI**, which is expected to come in at 50.5. This report will provide insights into the health of the US manufacturing sector and its potential impact on the broader economy.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:00	ISM Manufacturing PMI	50.5	US manufacturing sector health

Geopolitics & Global

- The US and China are set to resume trade talks, with the goal of reaching a new agreement by the end of the year.
- The European Union is considering imposing new sanctions on Russia in response to its actions in Ukraine.
- The US Federal Reserve is expected to keep interest rates unchanged at its next meeting, but may provide guidance on future rate hikes.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	\$1.25	iPhone sales, services revenue growth
23:00	GOOGL	\$15.50	Advertising revenue growth, cloud computing segment
00:00	MSFT	\$2.25	Cloud computing revenue growth, Office 365 subscriptions

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Technology	Artificial intelligence, gaming segment growth
TSLA	Consumer Discretionary	Electric vehicle demand, autonomous driving technology
JPM	Financials	Interest rate expectations, trading revenue growth

What Could Break the Tape

BULLISH TRIGGERS

- A strong earnings report from **AAPL** could send the stock soaring and boost the broader market.
- A breakthrough in US-China trade talks could lead to a significant rally in the stock market.
- A surprise interest rate cut by the Federal Reserve could boost the stock market and lead to a rally in the bond market.

BEARISH TRIGGERS

- A disappointing earnings report from **GOOGL** could send the stock plummeting and drag down the broader market.
- An escalation of tensions between the US and China could lead to a significant decline in the stock market.
- A surprise interest rate hike by the Federal Reserve could lead to a sell-off in the stock market and a rally in the bond market.

Positioning Notes

- The **VIX** is trading at a relatively low level, indicating a decrease in market volatility and a potential increase in risk appetite.
- The **DXY** is trading at a relatively high level, indicating a strong US dollar and a potential decrease in demand for foreign currencies.
- The 10Y Yield is trading at a relatively high level, indicating an increase in market expectations for future growth and a potential increase in interest rates.

Sources

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